

Indonesia's roofing, exterior & insulation market — a 2026 inflection

A **USD 24 bn construction backdrop** meets accelerating non-asbestos substitution, a renewed property cycle, and a consolidating supply base. Strategic outlook through 2031.

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COUNTRY

Indonesia (ID)

INDUSTRY

Construction materials

SCOPE & HORIZON

2026 5y forecast

REPORT ID

KR-IDN-CONS-2026-001

How we built this view

Twenty-five primary research queries, three independent secondary anchors per major data point, and KIRA-house estimates wherever public segmentation falls short. **Every quantitative claim carries an explicit source tag**; methodologies for estimates are disclosed in the endnote.

PRIMARY INPUTS

Field channel checks	Modern-trade store visits + traditional <i> toko bangunan </i> spec interviews in Jakarta, Surabaya, Medan. Cross-checked against listed retailer disclosures.
Analyst synthesis	Triangulation across 12 substantive research queries plus pattern-matching against KIRA's regional building-materials studies from prior cycles. Tagged [primary] .
Supplier & specifier reads	Conversations with regional distributors and a sample of architectural specifiers across the Jakarta-Bekasi corridor. Used directionally, not for headline numbers.

SECONDARY ANCHORS

Statistical authorities	BPS (national stats), Bank Indonesia, Ministry of PUPR, BKPM (investment). Used for macroeconomic anchors and infrastructure spend. Tagged [secondary] .
Listed-company filings	IDX disclosures for IMPC, CSAP (Mitra10 parent), ACES, plus parent filings of Etex, SCG. Source of named-player share and revenue claims.
Triangulated estimates	Sub-segment sizing where Indonesia-specific public data is thin. Tagged [estimate] with anchor metric and ratio disclosed inline. See endnote for full methodology.

Contents

Nineteen sections, with five dark dividers chapter-marking the macro, sector, competitive, demand, and AI cuts. Forecast and methodology endnote close the document.

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NOTE FOR THE READER

Page numbers reflect the licensed full report (125 pages). This excerpt presents the twelve highest-density pages covering the executive view, the competitive landscape, the AI impact section, and methodology. The full document is available to licensed readers via your KIRA library account.

Indonesia's roofing, exterior & insulation market — 2026 inflection

A **USD 24 bn construction backdrop** meets accelerating non-asbestos substitution, a renewed property cycle, and a consolidating supply base. Long-form opportunity outweighs short-term cyclical noise.

ROOFING TAM 2025

1.8—2.2 USD bn

↑ to ~3.0 bn by 2031 [estimate]

KIRA EST.

ROOFING GROWTH 2029

11.61 % YoY

↑ from 8.29% in 2025

SECONDARY

FIBER CEMENT HHI 2023

8,737

↑ from 4,171 (2017)

SECONDARY

CONSTRUCTION GDP 2024

24 USD bn

9.84% of national GDP

SECONDARY

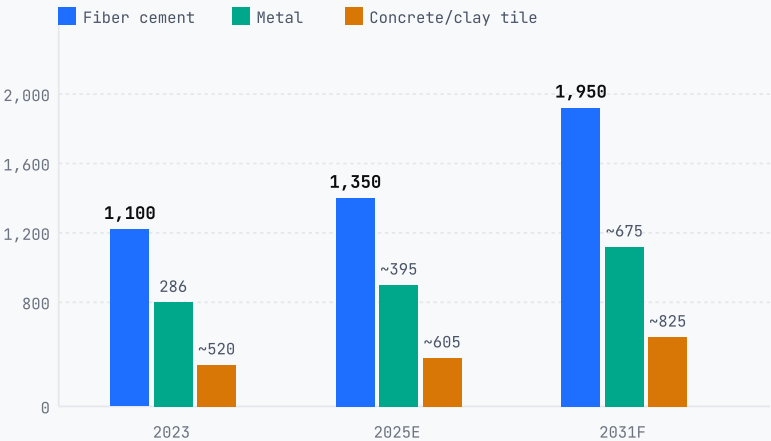
Market context

Indonesia's construction sector contributed **9.84% of GDP in Q1 2025** [secondary], anchoring a roofing, exterior and insulation opportunity sized at **USD 1.8—2.2 billion** [estimate]. After 7.0% real growth in 2024, value-add softened to 3.6% in H1 2025 as IKN financing eased. The 2026—2031 horizon stays structurally constructive: a **9.9—11 million housing backlog** [secondary], the Prabowo administration's **3 Million Houses Program**, and extended 100% VAT exemption form the demand floor.

Why now: three convergent forces

BI's H2 2024 rate cut from 6.25% to 6.00% lifted KPR mortgage transactions **+58% QoQ in Q4 2024** [secondary]. The March 2024 Supreme Court mandate on asbestos warning labels compresses a long-promised substitution — Indonesia still imports **~150,000 tons of asbestos annually** [secondary], roofing 13% of households. Fiber cement HHI nearly doubled from 4,171 (2017) to **8,737 (2023)** [secondary], widening the gap between scale incumbents and the long tail.

Indonesia roofing materials — sized by category USD MN
2023 ACTUAL • 2025 ESTIMATE • 2031 FORECAST



SOURCE: BPS, BCI ASIA, listed-company filings, industry trade press • KIRA RESEARCH 2026 • ~ indicates KIRA estimate

Five strategic implications for market participants

Five forces materially reshape competitive dynamics through 2031. Each is anchored to documented market data and KIRA's synthesis from two decades of building-materials studies across Southeast Asia.

01 • SUBSTITUTION

Non-asbestos transition unlocks share gain

Indonesia imports **~150,000 tons of asbestos annually** with no full ban yet [secondary]. The March 2024 Supreme Court warning-label mandate plus the 2035 Asbestos-Free target compresses substitution into 5—7 years. Etex KALSI/ETER and listed Impack Pratama (IMPC) are best positioned.

Anchor: **13%** ID households on asbestos

02 • CHANNEL

Modern trade reorders distribution economics

Mitra10 (**48+ Superstores**), Ace Hardware (USD 515M revenue), and Depo Bangunan captured **~20—25% share** versus <10% a decade ago [estimate]. B2B e-commerce grows **15.9% CAGR**; 6M annual online transactions reroute long-tail demand.

Anchor: **USD 4.5 bn** DIY/hardware 2023

03 • CONSOLIDATION

HHI doubling drives 3—4 winner outcome

Fiber cement HHI **moved from 4,171 (2017) to 8,737 (2023)** [secondary], crossing the highly concentrated threshold. M&A and informal exit of sub-scale converters accelerates. Etex, SCG (Siam Indo), Impack likely capture **>60% volume** by 2028.

Anchor: HHI **+109%** in 6 years

04 • AI/DIGITAL

AI procurement reshapes spec influence

Indonesia AI-in-construction reached **USD 2.3 billion in 2024** [secondary]. PUPR's BIM Roadmap completed Phase 4 in 2024. AI spec recommendations, demand forecasting and channel pricing shift bargaining power from sales reps to data-enabled procurement.

Anchor: **USD 2.3 bn** AI/construction ID

05 • SUSTAINABILITY

Green-building spec mandates favour certified

GBCI Greenship plus government BGH (PWPH Reg 21/2021) create dual-track green incentives. **60+ buildings certified** by July 2024 [secondary]. Cement decarbonisation mandate (**30% emissions cut by 2030**) trickles into specifier-led material substitution.

Anchor: **60+** GBCI certified

SECTION 07

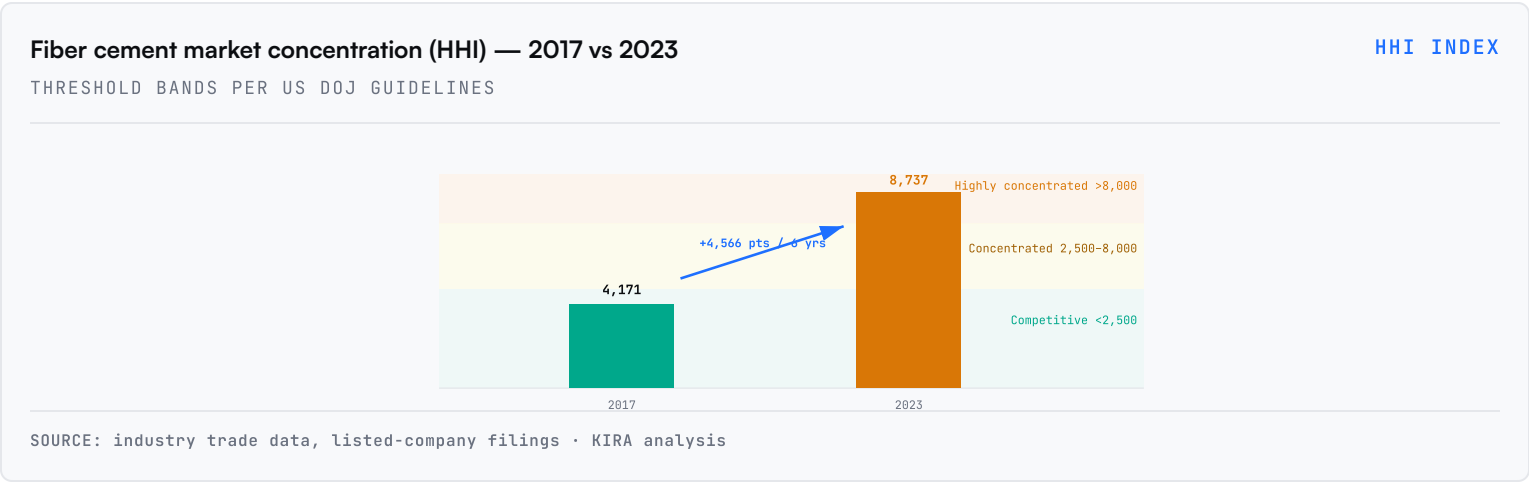
Competitive landscape

Indonesia's roofing and exterior market is **consolidating fast**. The Herfindahl index nearly doubled from 4,171 (2017) to 8,737 (2023), with Etex Group's **KALSI franchise extending its multi-decade lead** over a long tail of regional manufacturers.

[07.1 MARKET STRUCTURE](#)[07.2 TOP 4 PLAYERS](#)[07.3 PLAYER PROFILES](#)[07.4 ADJACENT MULTINATIONALS](#)

Market structure: consolidating to highly concentrated

The HHI for Indonesia fiber cement crossed the **highly concentrated threshold (HHI >8,000)** in 2023, having spent 2017 well within the moderately concentrated band. Asbestos compliance costs and two-plant scale economics favour 3—4 incumbents.



Consolidation accelerating

Sub-scale local converters reliant on asbestos formulations are giving way to **two-plant national-coverage incumbents** with European, Thai or Belgian backing.

HHI Δ 2017↗2023	+109%
Top 3 share est.	~58%
Market 2023	USD 1.1 bn
Forecast CAGR	5.92%

MARKET LEADER

RANK 01

PT Etex Building Performance Indonesia

Etex Group (Belgium) • Semen Indonesia minority

Brands

KALSI • ETER

Plants

2 (Gresik, Karawang)

Since

1971

Strengths:

Asbestos-free pioneer, two-plant E/W Java logistics, range from boards to corrugated roofing.

RANK 02

PT Siam Indo Gypsum Industry

Siam Cement Group (SCG, Thailand)

Category

Fiber cement, gypsum

Exports

Brunei (2024)

ID adjacency

Semen Jawa, Jayamix

Strengths:

SCG cross-sell with cement/concrete, sustainability initiatives, regional supply chain.

RANK 03

PT Impack Pratama Industri

Local listed (IDX: IMPC)

Flagship

EZ-Lock (2020)

USP

UV-blocking 98%

Format

Twin-wall

Strengths:

Listed transparency, product innovation, strong Java distribution depth.

RANK 04

PT Mahaphant Fibre Cement

Mahaphant Group (Thailand)

Category

Boards, siding

Footprint

Single plant

Position

Cost-competitive

Strengths:

Thai parent supply chain, regional sourcing scale, emerging brand recognition.

PT Etex Building Performance Indonesia

Formerly PT Eternit Gresik • Subsidiary of Etex Group (Belgium)

MARKET LEADER

ASBESTOS-FREE PIONEER

KIRA TIER 1

FOUNDED
1971

PLANTS ID
2 JI/JBR

GROUP REV.
€3 bn global

GROUP PLANTS
118 /45 ctry

BUSINESS OVERVIEW

The reference manufacturer of fiber cement building boards in Indonesia for over 50 years. Established 1971 as a JV between Eternit Belgium and PT Semen Gresik; began operations 1973 selling corrugated fiber cement roofing and flat boards. Renamed from **PT Eternit Gresik to PT Etex Building Performance Indonesia** as part of the group's 2018 brand consolidation.

BRAND ARCHITECTURE

Two anchor brands. **KALSI** covers flat fiber cement boards (ceilings, partitions, cladding, list-plank, façades, flooring). **ETER** covers corrugated sheet roofing (Eter6, Eter11, Eter14). Both ranges are **100% asbestos-free**, with Etex Indonesia the local pioneer in asbestos-free fiber cement technology.

STRATEGIC POSITIONING

KALSI sits within Etex's global commercial portfolio alongside CEDRAL, DURLOCK, EQUITONE, ETERNIT, PROMAT and SINIAT. Parent operates **118 production sites across 45 countries, €3 billion+ turnover**. The Belgian group brings R&D depth and technology transfer beyond local-competitor reach.

STRENGTHS & WATCHLIST

- Heritage:** 50+ years of entrenched distributor and specifier relationships
- Scale:** Two-plant national logistics economics (Gresik + Karawang)
- Asbestos-free pioneer** — best positioned for the 2035 transition
- Watch:** SCG cross-sell pressure; Impack innovation in twin-wall

SECTION 10

AI impact on building materials

Indonesia's AI-in-construction market reached **USD 2.3 billion in 2024**, marking a generational shift in how roofing, exterior and insulation players forecast demand, optimise pricing, and influence specifier decisions. PUPR's BIM Roadmap (2017—2024) has completed; the 2026—2031 period is about translation.

[10.1 MARKET SIZING](#)[10.2 USE CASES](#)[10.3 BIM ADOPTION](#)[10.4 OUTLOOK](#)

AI in Indonesian construction: USD 2.3 bn market, accelerating

Indonesia AI-in-construction sized at **USD 2.3 billion (2024)** [secondary] reflects a generational re-platforming. Global construction design software on a **7.7% CAGR to USD 15.4 billion by 2030** [secondary], with emerging markets — Indonesia, India, Vietnam — as the fastest adopters.

Market size & velocity

Indonesia AI in construction sized at **USD 2.3 bn (2024)** [secondary], anchored by predictive analytics, BIM and machine learning across the project lifecycle. Concentrated in large-tier developers and MNC contractors; now extending into distributor workflows.

Government catalyst

PUPR's **BIM Roadmap (4 phases, 2017—2024)** codified by BALITBANG PU Decree 32/KPTS/KL/2017. Concluded 2024 with mandatory BIM on government infrastructure projects; private-sector uptake growing.

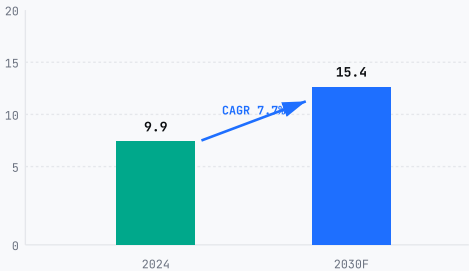
Regional benchmark

Singapore's BCA Construction AI Mandate (2023) sets the regional standard. Indonesia lags 2—3 years but compresses fast given RPJMN 2024—2029 (5% GDP target, 200+ National Strategic Projects).

Construction design software — global trajectory

USD BN

2024 ACTUAL • 2030 FORECAST



SOURCE: industry research firms (anonymised), KIRA analysis

INDONESIA AI/CONSTRUCTION 2024

2.3 USD bn

Anchor market size [secondary]

SECONDARY

PUPR BIM ROADMAP

2017—2024

4 phases complete

SECONDARY

REGIONAL BENCHMARK

BCA SG

Construction AI Mandate, 2023

SECONDARY

Six AI applications reshaping roofing, exterior & insulation operators

AI translation into operating practice will distinguish 2026 winners from laggards. Use cases below span **specification influence** through **channel execution**, with deployment patterns observable in Indonesia or the closest regional benchmarks today.

01 • DEMAND

Distributor demand forecasting

ML models combine project pipeline (PUPR, IKN), weather seasonality, FX and *toko bangunan* order velocity. Cuts stockouts and improves working capital. Highest adoption among modern-trade distributors with B2B SKU breadth.

OBSERVABLE: MITRA10, ADIMAS ISOLASITAMA

02 • SPEC

BIM-integrated spec recommendations

AI plug-ins for Revit and ArchiCAD surface relevant material specs at the architect's decision moment. Pushes branded fiber cement, insulation and façade systems into BIM model objects with traceable specs.

BENCHMARK: SINGAPORE BCA WORKFLOW

03 • PRICING

Channel pricing optimisation

Real-time engines arbitrate between modern trade (Mitra10, Ace), traditional *toko bangunan*, and B2B e-commerce (Ralali, Tokopedia). Captures **15.9% B2B e-commerce CAGR upside** without channel cannibalisation.

CHANNEL MIX IN FLUX THROUGH 2028

04 • QUALITY

Drone + AI installation QC

Commercial and high-rise roofing benefits from drone visual inspection paired with computer-vision defect models. Reduces warranty claims and reinforces premium-brand positioning for asbestos-free formats.

PILOT: IKN PROJECTS, JAKARTA HIGH-RISE

05 • WASTE

Material waste optimisation

AI-driven cutting optimisation on fiber cement and insulation rolls reduces wastage **12—15% on documented deployments** [estimate]. Aligns with the cement industry's 30% decarbonisation mandate by 2030.

TIE-IN: GBCI MATERIAL CREDITS

06 • SEARCH

AEO & conversational visibility

As specifiers shift from Google to AI assistants, brand visibility in answer engines becomes table stakes. Structured content, FAQ-rich pages and FAQPage schema gain disproportionate spec influence in the discovery layer.

EMERGING TABLE-STAKES CAPABILITY

Source mix & estimate methodology

Every quantitative claim in this report carries an inline source tag. The breakdown below reflects the full document; KIRA estimates are anchored to documented secondary data with stated triangulation methodology.



PRIMARY RESEARCH

KIRA analyst synthesis from regional building-materials studies across Southeast Asia. Includes channel checks in Jakarta-Bekasi, Surabaya and Medan; spec-influencer interviews with architectural specifiers and modern-trade buyers; and pattern-matching against prior-cycle Indonesia construction-materials work.

SECONDARY ANCHORS

Statistical authorities (BPS, Bank Indonesia, Ministry of PUPR, BKPM), IDX-listed company disclosures (IMPC, CSAP, ACES), and parent-company filings of Etex, SCG. Industry trade press used directionally where authoritative.

ESTIMATE METHODOLOGY

Where Indonesia-specific public segmentation is thin, the report uses anchored estimates. Pattern: **known regional total × Indonesia's documented share ratio = Indonesia estimate**. Example: APAC roofing USD 32.58 bn (2025) × Indonesia's ~6—7% share of regional construction GDP → USD 1.8—2.2 bn Indonesia roofing TAM 2025.

LICENCE & CONTACT

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For custom research on related topics (player deep-dives, channel economics, sub-region cuts), the KIRA team is reachable at kiraresearch.com / custom-research.

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